LUMINARY FINANCIAL

COMPLIANCE INTELLIGENCE PLATFORM · ICM METHOD

November 6, 2026

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RIA COMPLIANCE AUDIT REPORT

DOCUMENT	STATUS
Sample_Fund_Prospectus_Test.pdf	**Audit Complete**

4	1	0
HIGH RISK	MEDIUM RISK	LOW RISK

FINDINGS

Finding 1

RIA-01-CONC

HIGH

CLAUSE IDENTIFIED

"The General Partner may allocate up to 18% of the Fund's net asset value to any single issuer when it holds a high-conviction view."

VARIANCE

Position sizing limit of 18% exceeds the 10% maximum single asset exposure permitted under RIA-01-CONC. Section 4.1 explicitly states 'No exception to position-size limits is granted under this section,' confirming no special situations authorization exists.

Finding 2

RIA-01-CONC

HIGH

CLAUSE IDENTIFIED

"As of the date of this Memorandum, the Fund's largest position, Northlake Semiconductor Corp., represents approximately 15.2% of net asset value."

VARIANCE

Current holding of 15.2% in a single issuer exceeds the 10% maximum concentration limit. No special situations authorization is granted per Section 4.1.

Finding 3

RIA-02-LEV

HIGH

CLAUSE IDENTIFIED

"The Fund's gross leverage may reach up to 3.0 times net equity during periods the General Partner deems favorable."

VARIANCE

Maximum permitted leverage of 3.0:1 exceeds the 2:1 leverage ratio limit established under RIA-02-LEV.

Finding 4

RIA-02-LEV

HIGH

CLAUSE IDENTIFIED

"Leverage averaged 2.4:1 over the trailing twelve months."

VARIANCE

Trailing twelve-month average leverage of 2.4:1 exceeds the 2:1 maximum leverage ratio permitted under RIA-02-LEV.

Finding 5

RIA-03-FEES

MEDIUM

CLAUSE IDENTIFIED

"The General Partner receives a performance allocation equal to 20% of net profits allocated to each Limited Partner for each fiscal year. Net profits are calculated on a calendar-year basis; prior-year losses are not carried forward."

VARIANCE

Performance fee structure lacks high-water mark provision. The explicit statement that 'prior-year losses are not carried forward' confirms absence of loss carryforward mechanism required under RIA-03-FEES.

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